

Copyrights will have to be added to Exclusivity, which makes the Exclusivity Rs.1401 Cr for 2021 and Rs.246 Cr for 2020.

Technical Know how Fees and Commercial Knowhow Fees will also be added to the Exclusivity part of Intangible Assets. Know-how gives some form of exclusivity to the business. However, asking the management will give a better idea of its nature. For now, adding technical and commercial know-how fees to exclusivity will make it 1470 Cr for 2021 and 318 Cr for 2020.

Next, Non-compete fees will be added to the Normal assets category. Since the non-compete fees is Rs.1 Cr each. Intangible assets that are like "Normal assets" would be Rs. 21 crores for 2021 and Rs. 16 crores for 2020.

Distribution Network is something that gives the company some exclusivity. Some points to consider will be the kind of distribution network, how exclusive it is, and how exactly the company arrived at a value for the distribution network. However, since the Distribution network is a competitive strength, we can put it in exclusivity. Thus, adding the distribution to the exclusivity for 2021 will make it Rs. 1671 Cr.

5	PARTICULARS	FY 2016	FY 2017	FY 2018	FY 2019	FY 2020	FY 2021
25	Bad Debts Written Off					4	7
26	Provision for Bad debt					78	89
27							
28	Reverse Float like items (Short term loans and advances)					148	148
29	One time recoverables (Short term loans and advances)					138	150
30							
31	Fixed Assets - Productive					1057	1200
32	Fixed Assets - Unproductive					85	85
33	Gross block					2236	2483
34							
35	Intangible Assets - Capitalised Expenditure					184	1284
36	Intangible Assets - Exclusivity					318	1671
37	Intangible Assets - Normal Assets					16	21

It is better if more assets are in exclusivity and fewer assets are in normal and capitalized expenditure categories. Assets that are exclusive in nature may provide value to the company way beyond its reported value. At times it may be the most important that the company owns and reason behind company's competitive strength. Higher assets in exclusivity mean more assets provide competitive strength to the company.

Capitalized expenditure does not contribute directly to the company's performance, whereas normal assets have a relatively smaller role to play in the same.